



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

8th Floor, Chater House, 8 Connaught Road Central, Hong Kong

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Our Ref: 250/LC/24

23 December 2003

Circular to Licensed Corporations
Notification on cessation of accreditation and return of licence

It has come to our attention that licensed corporations and their representatives occasionally failed to notify the SFC of events relating to cessation of accreditation and to return the licences to the SFC in a timely manner. This circular is to remind you of the statutory obligations in this regard.

Under section 123(1)(a) of the Securities and Futures Ordinance (“SFO”), if any of your licensed representatives ceases to act for or on behalf of you *vis-à-vis* the regulated activities you carry out, the individual thereupon ceases to be accredited to you. You shall then notify the SFC of such cessation within 7 business days after the event by completing Sections 3B and 18A of Form 5. Please note that a person who contravenes section 123(1)(a) commits an offence and is liable on conviction to a fine of \$100,000.

Furthermore, pursuant to section 123(1)(b) of the SFO, the representative concerned should return his licence to the SFC within 7 business days after such cessation.¹ As principal, you are expected to alert your representatives of this requirement when they cease being accredited to you or to return their licences to the SFC should they be in your possession. A person who, without reasonable excuse, contravenes section 123(1)(b) commits an offence and is liable on conviction to a fine of \$100,000.

Should you have any queries on the above, please contact your Intermediaries Relationship Manager of the Licensing Department.

Licensing Department
Intermediaries and Investment Products Division
Securities and Futures Commission

¹ We also request that the representative concerned completes Sections 3A and 18B of Form 5 and lodges the Form at the time when he returns his licence to the SFC. Upon cessation of accreditation, the principal and the relevant representative may jointly make the related notification by completing the appropriate sections in one Form 5.

